

WINERY PROPERTY ENDORSEMENT

This endorsement modifies insurance provided under the following:

FARM PROPERTY – FARM DWELLINGS, APPURTENANT STRUCTURES AND HOUSEHOLD
PERSONAL PROPERTY COVERAGE FORM

FARM PROPERTY – FARM PERSONAL PROPERTY COVERAGE FORM

FARM PROPERTY - OTHER FARM PROVISIONS FORM – ADDITIONAL COVERAGES, CONDITIONS,
DEFINITIONS

CAUSES OF LOSS FORM – FARM PROPERTY

SCHEDULE

Coverage	Limit of Insurance
Brands and Labels Expense	\$50,000
Contractual Penalties	\$25,000
Trees, Plants, Shrubs and Lawns	\$25,000 Each occurrence \$1,000 Any one tree, plant or shrub
Wine Contamination	\$51,000
Wine Leakage	\$26,000
If no limit is shown in this Schedule, refer to the applicable Coverage for the Limit of Insurance provided.	

- A. The following additional coverage is added to **SECTION II – COVERAGE EXTENSIONS** of the FARM PROPERTY – FARM PERSONAL PROPERTY COVERAGE FORM:

1. Brands and Labels Expense

If branded or labeled merchandise that is Covered Property is damaged by a Covered Cause of Loss, we may take all or part of the property at an agreed or appraised value. If we do, you may:

- Stamp the word “salvage” on the merchandise or its containers, if the stamp will not physically damage the merchandise; or
- Remove the brands or labels, if doing so will not physically damage the merchandise. You must re-label the merchandise to comply with any applicable laws.
- The most we will pay for the reasonable and necessary costs you incur to do so is the Limit of Insurance shown in the Schedule of this endorsement applicable to Brands and Labels Expense.

But the amount we will pay for these costs and the value of the damaged property will not exceed the applicable Limit of Insurance on such property.

- B. The following Coverage Extension is added to **Section II – Coverage Extensions** of the **FARM PROPERTY – FARM PERSONAL PROPERTY COVERAGE FORM**:

Trees, Plants, Shrubs and Lawns

- Coverage is extended to apply to direct physical loss of or damage to your trees, plants, shrubs and lawns at the “insured location”. This Coverage Extension does not apply to trees or vines used in the production of orchard or vineyard products.
- This Coverage Extension applies only to loss or damage caused by or resulting from any of the following causes of loss:
 - Fire;
 - Lightning;

- (3) Explosion;
 - (4) Riot or civil commotion;
 - (5) Aircraft;
 - (6) Vehicles not owned or operated by you or your employees;
 - (7) Vandalism; or
 - (8) Theft;
- but only to the extent they are Covered Causes of Loss.

- c. The most we will pay under this Coverage Extension in any one occurrence, regardless of the number of damaged or destroyed trees, plants, shrubs or lawns, is the Limit of Insurance shown in the Schedule above as applicable to Trees, Plants, Shrubs and Lawns.
- d. The most we will pay for loss or damage to any one damaged or destroyed tree, plant or shrub is the Limit of Insurance shown in the Schedule above as applicable to Any One Tree, Plant or Shrub.
- e. This Coverage Extension is additional insurance.

C. The following Additional Coverage is added to **Section A. Additional Coverages** as found in the FARM PROPERTY – OTHER FARM PROVISIONS FORM – ADDITIONAL COVERAGES, CONDITIONS, DEFINITIONS:

7. Contractual Penalties

- a. We will pay for the cost of contractual penalties you are assessed or required to pay your customers for failure to timely deliver your "wine" products in accordance with the contract terms and conditions of a written contract or agreement. These contractual penalties must result from:
 - (1) Direct physical loss of or damage caused by or resulting from a Covered Cause of Loss, and
 - (2) A written contract or agreement that was executed and in effect prior to the loss or damage which caused the failure to timely deliver your "wine" products.
- b. We will not pay under this Additional Coverage for:
 - (1) Any fine or penalty imposed by ordinance, regulation, or governmental authority; or

- (2) Any contractual penalty assessed after the written contract or agreement ends.

- c. The most we will pay under this Additional Coverage in any one occurrence, regardless of the number of contracts or agreements involved in that occurrence, is the Limit of Insurance shown in the Schedule of this endorsement applicable to Contractual Penalties.
- d. With respect to the insurance provided by this Additional Coverage, the following Definition is added to paragraph **C. Definitions** as found in the FARM PROPERTY – OTHER FARM PROVISIONS FORM – ADDITIONAL COVERAGES, CONDITIONS, DEFINITIONS:

14. "Wine" means:

- a. Wine as defined in section 610 and section 617 of the Revenue Act of 1918 as now in force or hereafter amended, and
- b. Other alcoholic beverages not so defined, but made in the manner of wine, including sparkling and carbonated wine, wine made from condensed grape must, wine made from other agricultural products than the juice of sound, ripe grapes, imitation wine, compounds sold as wine, vermouth, cider, perry and sake; in each instance only if containing not less than 7 per cent and not more than 24 per cent of alcohol by volume, and if for non-industrial use.

D. Paragraph 3. Valuation of the Loss Conditions in Coverage E Conditions and Coverage F Conditions of the FARM PROPERTY – FARM PERSONAL PROPERTY COVERAGE FORM is amended by adding the following:

Wine Market Value

- 1. We will determine the value of "bottled winery products", in the event of loss or damage as follows:
 - a. Cellared, rare or vintage wines, if irreplaceable in the market, will be valued on the date of loss at the

b. average market listing, had no loss or damage occurred, as determined by three well established and reputable wine merchants selected by us;

c. Wine in the state of process, including in bottles, tanks or barrels, will be valued at the lesser of:

(1) The three year average wholesale market price of the wine, less unincurred costs (i.e.: bottling, storage, labels, printing, labor), for that same varietal or vintage or from the same vineyard; or

(2) If the three year average wholesale market price described in (1) above is not available, the three year industry wide average wholesale market price, less un-incurred costs, for the same varietal or vintage; or

(3) The cost to replace the wine with wine of like kind, quality and state of fermentation, if replaceable;

d. Wine that is ready for sale, other than cellared, rare or vintage wine that is irreplaceable in the market, will be valued at the price the wine could have been sold for, as case goods, as of the time and place of loss or damage had no loss or damage occurred.

2. We will determine the value of "bulk wine", in the event of loss or damage, at the lesser of:

a. The price the wine could have been sold for as of the time and place of loss or damage had no loss or damage occurred; or

b. The market price of "bulk wine" of like kind and quality as of the time of loss or damage.

3. All values exclude:

a. Unpaid U.S. Government Internal Revenue taxes for which you are liable; and

b. Discounts and expenses you otherwise would have had.

But values include State, County and Local taxes for which you are liable.

E. With respect to the **FARM PROPERTY – OTHER FARM PROVISIONS FORM – ADDITIONAL COVERAGES, CONDITIONS, DEFINITIONS:**

1. Paragraph 10. **Transfer of Rights of Recovery Against Others to Us** of Section B. **Farm Property Conditions – Loss Conditions** is replaced by the following:

Transfer of Rights of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover prepaid taxes or duties that are included in our payment, those rights are also transferred to us.

2. In Section **C. Definitions** the term "Business Property" is replaced by the following:

"Business property" means property pertaining to any trade, profession or occupation other than farming or winemaking.

3. The following are added to Section **C. Definitions:**

a. **"Bottled Winery Products"** means wine and other winery products:

(1) In the bottle or otherwise packaged ready for sale or distribution; or

(2) Not bottled or otherwise packaged ready for sale or distribution, but:

(a) Irreplaceable in kind and quality; and

(b) In the ordinary course of your business, would be bottled or otherwise packaged for sale or distribution and in your hands as producer or processor.

b. **"Bulk Wine"** means wine, in your hands as a producer or processor:

(1) Replaceable and not in a bottle or otherwise packaged ready for sale or distribution; and

(2) Other than "bottled winery products".

F. The following applies with respect to the **CAUSES OF LOSS FORM – FARM PROPERTY and FARM PROPERTY – FARM PERSONAL PROPERTY COVERAGE FORM:**

Wine Contamination

The insurance, if any, provided under the Farm Property Coverage Part for:

Direct physical loss or damage to wine products; and Disruption of Farming Operations and/or Extra Expense that is a consequence of direct physical loss or damage to wine products is amended by the following:

1. We will not pay for loss or damage caused by or resulting from contamination of wine products, whether finished or in-process, unless the contamination is itself caused by or results from:

a. Any of the "specified causes of loss";

b. Contact of the wine products with

residual cleaning solvents within the tanks, vessels or barrels, including their component parts and

connections, used to process or store the wine products; or

- c. Cork taint, oxidation, bacterial or fungal presence resulting in change in flavor, taste, color, texture, finish, smell, scent or appearance.
2. The most we will pay for the total of all loss or damage under this Coverage Part that is caused by or results from contamination of wine products arising out of all occurrences in any one policy year is the Limit of Insurance shown in the Schedule of this endorsement applicable to Wine Contamination. This limit:
- a. Applies regardless of the number of locations, coverages or Coverage Forms involved; and
 - b. Is part of, and does not increase the Limits of Insurance provided under this Coverage Part.

Wine Leakage

The insurance, if any, provided under the Farm Property Coverage Part for:

- A. Direct physical loss or damage to wine products; and
 - B. Disruption of farming operations and/or Extra Expense that is a consequence of direct physical loss or damage to wine products;
- is amended by the following:

1. We will not pay for loss or damage caused by or resulting from leakage of finished or in-process wine products from any tanks, vessels or barrels used to process or store the wine products, or from any component parts of or connections to or from the tanks, vessels or barrels, unless the wine leakage is itself caused by or results from:
- a. Any Covered Causes of Loss; or
 - b. The implosion or inward collapse of the tank, vessel or barrel due to the failure of a pressure relief device on the tank, vessel or barrel; or
 - c. Errors or omissions in the workmanship of you or your employee(s), including faulty, inadequate or defective:
 - (1) Design, specifications, repair, construction, renovation, remodeling, grading, compaction;
 - (2) Materials used in repair, construction, renovation or remodeling; or
 - (3) Maintenance; of part or all of any property at the "insured location".

2. Under CAUSES OF LOSS FORM – FARM PROPERTY:

- a. Section D. Covered Causes of Loss – Special exclusions **D.2.c (2)** through **(4)** do not apply to wine leakage at an "insured location" caused directly by the errors or omissions of an employee, such as accidentally leaving a valve open.
 - b. The following exclusion is added:

We will not pay for any loss or damage caused by or resulting from wine leakage that can reasonably be considered normal and customary to the trade.

All other exclusions continue to apply.
3. The most we will pay for the total of all loss or damage under this Coverage Part that is caused by or results from leakage of wine products arising out of all occurrences in any one policy year is the Limit of Insurance shown in the Schedule of this endorsement applicable to Wine Leakage. This limit:
- a. Applies regardless of the number of locations, coverages or Coverage Forms involved; and
 - b. Is part of, and does not increase the Limits of Insurance provided under this Coverage Part.